GMS WEEKLY

Your Source for Recycling News

March 14th, 2025
Week 11
Volume 270, Issue 1176

Highlights:

- **200K LDT.**
- **Bangla ahead.**
- **"If and when"?**
- **Downtime for HKC.**
- **Tariff moves.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"Never be afraid to try something new.
Remember, amateurs built the ark. Professionals built the Titanic."

– Unknown

-- MARKET COMMENTARY --

SPLURGING END?!

After what has certainly been a hectic January of negotiations and a late February / early March of unending deliveries with nearly 200K of LDT delivered in recent weeks, a period of calm reflection descended across Indian sub-continent ship recycling markets with an alarmingly minimal number of deals being fixed over recent weeks including this one. And ever since prices have been at and even well under the now chased after USD 450s/LDT across the board (as confirmed via last week's logger sale into Bangladesh), barely any sales have even been rumored to take place. Speaking of, Bangladesh remains ahead of its regional competitors with (weakening) levels still emanating from India and an inadvertently more competitive / stable Pakistan not far behind, snapping on their heels for the slim picking of units available. And this has once again presented itself via a severely dithered Alang anchorage and Pakistan's 2nd delivery in 3 months this year.

It has been a number of weeks since we saw more than one market unit concluded into the sub-continent ship recycling markets as the Baltic's Dry Bulk Sea Freight Index reported further climbs and registered its highest levels since November 2024, further deviating dry bulk & container freight sectors away from the bidding tables as firming rates push on and are maintaining the backlog of vintage / over aged vessels on the high-seas over the last few years. This will certainly drive global inflation up as logistics gets more expensive and trade wars aggravate an already volatile situation that much worse. Even oil prices continue to see jitters after they declined another 1% in early-week trading and rose back 0.9% by Friday, as oil closed the week out at $67.20 / Ton, all in the face of an ongoing over-supply of oil from OPEC+ countries despite a global easing of energy demands.

On the domestic fundamentals front, there has been a mixed bag of confusing signals emanating from the recycling markets. On the one hand, the U.S. Dollar has suffered a stuttering time as it weakened against some currencies while strengthening against others, and local steel plate prices hammer sentiments down further in both India and Pakistan this week, all while Chinese plate prices finally firm after a long time, which could have a positive affect on sub-continent markets in the long run and sub-continent levels continue to decline as an equilibrium finally settles things down…but that still remains an "if and when" type of situation.

For now, the ongoing downtime via the lack of availability of tonnage is providing recyclers in both Bangladesh and Pakistan the perfect opportunity to upgrade their yards up to HKC standards ahead of its entry into force on June 26th, while a majority (if not all) Alang yards are already HKC accredited with SoC certifications. Turkey at the far end has receded into hibernation in the face of the ongoing lack of tonnage, other than a marginal private proposal this week. Finally, many of Trump's tariff deadlines have now passed and it will be interesting to see how economies fare now that China too is reacting in kinds. Finally, a number of larger LDT OFAC listed / sanctioned vessels also remain unsold in cash buyer hands amidst fresh sanctions being imposed on vessels currently idling outside Bangladesh, highlighting once again the risks some cash buyers are willing to take and the international laws they are willing to violate, just to make a quick buck!

GMS demo rankings / pricing for week 11 of 2025 are on Page 5.

BANGLADESH

BANGING AWAY!

Above market.

As the price & tonnage leaders in the ship recycling sector across a majority of Q1 2025, Bangladesh ship recyclers remain keen to pick up tonnage despite being in an economic and political meltdown that is currently taking the nation a lot longer (than expected) to recover from, especially as there remains very little available at the bidding tables to bid on and this is leading to an accrual of local frustrations even though local anchorage continues to report healthy arrivals of nearly 72K LDT via 7 ships (including another LNG Tanker), that are either idling at the nations waterfront or have already been delivered to their respective recyclers this week. As such, it would not be surprising to see a few above market sales concluded to local buyers in the near future, just to satisfy some of the demand that has been resurfacing of late, as now-aggressive tier 2 recyclers become keen to fill their plots with tonnage at these newly cemented and comfortable levels in the USD 450s/Ton.

…the only pillar.

Rightly so, given that Bangladeshi steel plate prices continue to be the only pillar supporting local offerings at their current levels, helping local Chop Shops stay atop the market rankings week after week and even be the beneficiaries of virtually all of the tonnage that has been opening up in the Far East over the last 2 quarters, on the back of steel late prices that ended another week flatlined at region USD 529/Ton. Notwithstanding, while the economy and the Bangladeshi Taka are doing their best to suppress local offerings to mirror those of regional competitors, prices may eventually head in the wrong direction as the Taka weakens another 5 basis points to end the week at BDT 121.42 against the U.S. Dollar.

Subsidies.

On the domestic economy front, Bangladesh continues to suffer amidst ongoing protests, violence and attacks on law enforcement as unemployment remains high, business slowdowns continue, reduction in domestic exports to both the U.S. and the EU affect the nation's treasury, slowdown in activity at port terminals due to labor shortages is causing delays and resulting in rising costs of imported goods that are further grinding against domestic inflation, which itself has climbed just 0.5% in February 2025 whilst still at a high 9.32%, oil and energy costs are skyrocketing, and wavering bank deposits due to a growing lack of trust in the interim government continues despite rumors of the upcoming budget granting generous subsidies for the domestic agricultural and manufacturing sectors, in an attempt to jump start the economy and keep the nation's reserves in check. With the budget still being over a Quarter away and economic pressures still at play, just how Chattogram Choppers will react in the interim remains to be seen.

Rusty.

Finally, local sales continue as another bulker from Chinese owners (their third sale of this year so far) was confirmed as the RUN FU 6 (6,297 LDT) fetched a weakened USD 435/LT LDT with a Pakistan option in hand, as the vessel may well end in Gadani due to her condition and the fact that Bangladeshi recyclers are being far pickier in acquiring rusty units these days.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
RUN FU 6	Bulker	6,297	USD 435/LT LDT

INDIA

TWINNING!

Ship recycling markets certainly never fail to deliver their share of surprises given that on the back of declining local offerings (as previously forecasted in prior reports), not only have Alang recyclers managed to dislodge themselves to Pakistan on the market rankings, but Alang's anchorage has also managed to become the inadvertent twin of Gadani's waterfront as both destinations reported just one arrival this week, highlighting the relentless pressures on India's ship recycling sector that continue to hammer away at local sentiments.

Nemesis.

At the micro end for the ship recycling markets, their nemesis have been local steel plate prices as well as the U.S. Dollar, both of which have suffered catastrophically of late and even this week, where steel levels fell nearly another Dollar, down to USD 443/Ton and well below the current vessel pricing strategy out of India, and the U.S. Dollar too made a (meaningless) 12 basis point jump this week, but still ending the week at an astronomical level just above Rs. 87 (at the time of writing).

4%

Nevertheless, the Indian economy at large, continues to make gains (compared to the economies of competing ship recycling neighbors), with retail inflation finally slipping below the 4% mark in February and news of upcoming interest rate cuts by the government make the rounds. Moreover, as Chinese steel plate prices start to rise on the back of recently imposed tariffs, this could definitely help Indian steel plate prices in the long run, but just when and how soon, remain the question. Moreover, with tonnage dithering at the bidding tables and firmer Pakistani levels taking a bite out of India's recycling buffet via a second fixture in as many weeks (with a Pakistan option in hand), is certainly laying out additional hurdles for Indian recyclers leading into Q2.

This has pushed Alang Buyers into a corner where they remain patiently waiting on the sidelines to acquire specialist units (LNGs, stainless steel tankers, offshore vessels) and even HKC tonnage – some of which has made it to Chattogram of late while others (including HKC tonnage) have been entirely amiss in the face of firming freight rates that continue to deprive global ship recycling markets of any serious tonnage over the last couple of months - at least.

Supply low.

While January was certainly a busier month for India's ship recycling sector, after the recent decline in sub-continent levels amidst tariffs and impeding fundamentals, the ability of Indian buyers to satiate their lingering appetite has been notably abysmal. Adding a salted cherry to the injured state of Alang's ship recycling sector was the strong reaction to Trump's announcement on tariffs that would affect Alang, but with no recent fixtures to test the market, it has been another quiet week in India with Holi holidays keeping the local populous distracted on religious holidays.

Unable to test.

NO MARKET SALES REPORTED

PAKISTAN

UNLUCKY, YET LUCKY!

Unstable economy.

Gadani recyclers have been struggling at the bidding tables since Q3 2024 since when, they have only managed to secure 2 units thus far. Unluckily for Gadani buyers and in contrast to what is happening in India, even though domestic fundamentals have been far more stable here despite both the Pakistani Rupee that firmed 24 basis points to end the week at PKR 279.64 and local steel plate prices that are still plunging into the deep end as they recorded further declines this week, which ironically remain the highest in the industry and that too by a wide margin.

Empty handed.

Making matters worse for the economy is the state of the nation's treasury reserves that are facing a beating despite international personal remittances into the country helping Pakistan's inflation across February, thanks to the prior mismanagement of funds that has compelled the government to make drastic cutbacks for non-essential sectors - Ship Recycling being one of them. This has seen an exacerbating performance of Pakistani recyclers at the bidding tables as the nation struggles to stabilize domestic spending, despite national inflation bouncing around the 3% market. Even the plethora of pending loans / financial aid instruments and extensions on loan repayments being granted by the U.A.E and China, the government seems to be incessantly struggling to keep all sectors of the nation running in sync.

HKC underway?

On the flip side and luckily for the Gadani Gang, their relatively stable vessel prices have helped them watch India slide right on by and invariably slip Pakistan into 2nd place on the ship recycling market rankings, in effect, helping them negotiate and even have 2 vessels with delivered locally with another 2 recent fixtures reportedly having navigational charts for Pakistani waters on standby. As such, arrival after a month of silence, Gadani's waterfront finally reported a fresh as another small LDT bulker greets the nation's anchorage for recycling.

Notwithstanding, despite Pakistani recyclers making an effort, some even at testy levels, they have ended empty handed for another week as diminishing supply due to improving freight rates (dry bulk in particular) hammers the ship recycling industry overall. Pakistani recyclers have instead been busy trying to structure upgrades to their facilities to HKC standards during these trying times, and several have reportedly started the initial infrastructure work on their yards.

Willing to engage.

Yet, it seems unlikely that these facilities will be ready to operate before the June 26th deadline and likely even after, as Gadani as a destination has yet to receive HKC and subsequent SoC approvals or even recycle a single vessel under the HKC guidelines. As such, it remains to be seen just how many ship owners will be willing to engage in serious discussions – at least in the interim and until a few smaller LDT units have become the test subjects for the industry overall.

NO MARKET SALES REPORTED

TURKEY

Zzzzzz?

Compliance.

After what seems to have been an exciting fixture that certainly raised pulses across the industry last week, Aliaga has gone quiet again this week as tonnage is non-existent for this community once again and regulations coupled with domestic fundamentals keep Turkey's pricing in check.

Levels remain subdued and the last fixture was clearly below levels on the market rankings. Yet, given that strict compliance rules that owners have to abide by, have a cost factor attached to them, could justify the lower price on show for this particular fixture. Moreover, despite an odd private unit making the rounds, suppressed local steel plate levels and the Lira continue to place hurdles along Aliaga's pricing trajectory, having declined other 18 basis points and ending the week at nearly TRY 36.60 against the U.S. Dollar, all while Indian / Pakistani offerings remain nearly USD 150/Ton above.

Zzzzs seem back for Aliaga.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 11 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Stable**	440 / LDT	460 / LDT	470 / LDT
2	Pakistan	**Stable**	435 / LDT	455 / LDT	465 / LDT
3	India	**Weak**	430 / LDT	450 / LDT	460 / LDT
4	Turkey	**Weak**	280 / LDT	290 / LDT	300 / LDT

2024 FUN FACTS

- ***Ecuador's Ancient City (January 11th, 2024)*** *- The year started with the discovery of an ancient complex in the Ecuador Amazon. Experts believe it would have had a larger population than the Aztecs or Mayans. As many as 15,000 or even 30,000 might have lived in the area at some point.*
- ***Ginny's Last Mars Flight - (January 18th, 2024)*** *- Ingenuity, or 'Ginny,' is a NASA helicopter that became the first aircraft to achieve controlled flight to another planet. On its way to Mars, Ginny was initially strapped to the Mars Perseverance Rover. Experts thought it would last for around five flights over a month. Ginny did better than expected and lasted 72 flights in three years. However, Ginny landed badly on January 18th this year and couldn't launch again. NASA announced the end of this record-breaking mission one week later.*
- ***Japan Becomes Fifth Country to Land on the Moon (January 20th, 2024)*** *- Japan became the fifth country to land a spacecraft on the moon with its SLIM craft in January 2024. The Smart Lander for Investigating Moon (SLIM) is an unmanned vehicle. It uses precise technology to guarantee a targeted landing. SLIM initially landed upside down near the moon's Sholi crater. Experts worried that the solar panels wouldn't generate power. Luckily, SLIM lasted the lunar night, equivalent to two Earth weeks, and rebooted ten days later.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
March 28 – Jamat-ul-Wida March 30 – Gudi Padwa March 31 – Eid-ul-Fitr	March 13 – March 18 March 27 – April 05

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
March 26 – Independence & National Day March 28 – Shab-e-Qadr March 29 – April 02 – Eid-ul-Fitr	March 14 – March 17 March 29 – April 01

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays until April	March 23 – Pakistan Day March 30 – April 04 -Eid-Ul-Fitr	March 29 – April 03 – Ramzan Bayrami

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ALANG - Port Position as of March 14, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*AK Hamburg*	*2,616*	*Oil Tanker*	*Delivered March 11*
2	Hesen M	2,240	Gen Cargo	Arrived March 08
Total Tonnage		**4,856**		

CHATTOGRAM - Port Position as of March 14, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Banglar Jyoti*	*3,700*	*Tanker*	*Delivered March 10*
2	*Banglar Shourabh*	*3,700*	*Tanker*	*Delivered March 10*
3	Best Unity	9,826	Bulk Carrier	Arrived March 13
4	*Run Fu*	*6,978*	*Bulk Carrier*	*Delivered March 13*
5	Tasos	10,738	Bulk Carrier	Arrived March 12
6	**Three Star**	**7,627**	**Bulk Carrier**	**Arrived January 23**
7	Trader III	29,101	LNG Tanker	Arrived March 10
		71,670		

GADANI - Port Position as of March 14, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Atlantic 22	5,219	Bulk Carrier	Arrived March 13
Total Tonnage		**5,219**		

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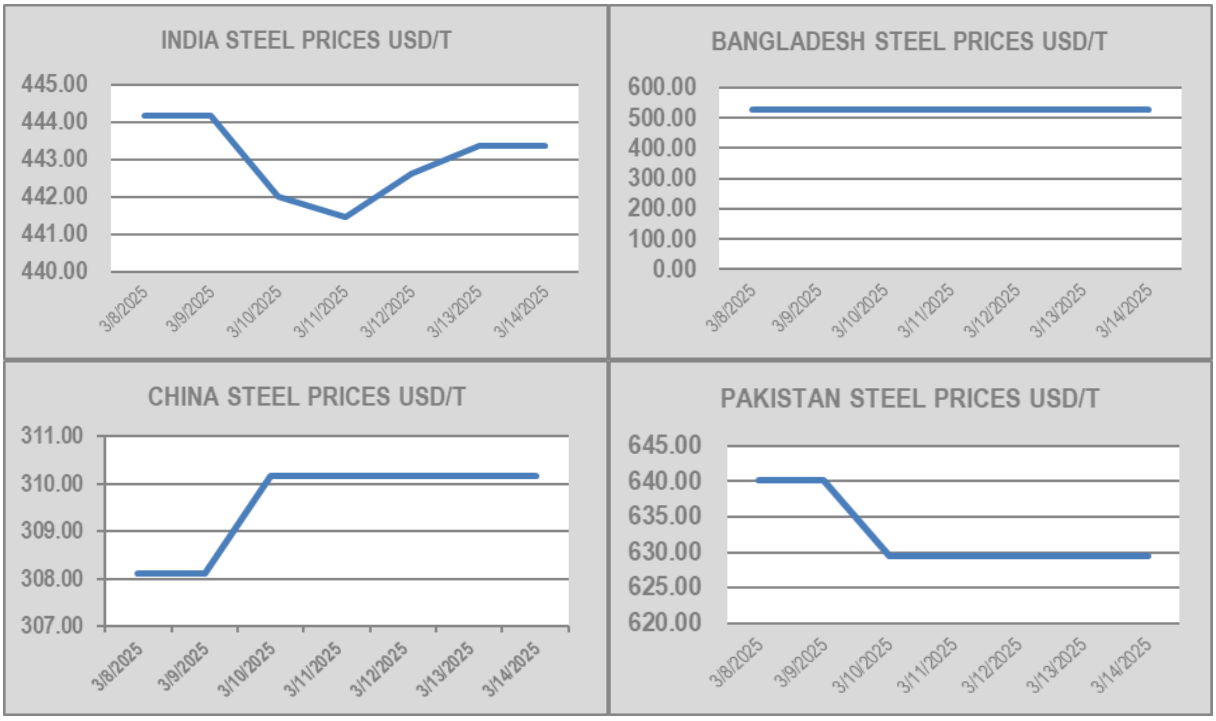
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
3/8/2025	444.19	38,600.00	640.20	179,000.00	529.41	63,000.00	308.13
3/9/2025	444.19	38,600.00	640.20	179,000.00	529.41	63,000.00	308.13
3/10/2025	442.00	38,600.00	629.47	176,000.00	529.41	63,000.00	310.18
3/11/2025	441.46	38,500.00	629.47	176,000.00	529.41	63,000.00	310.18
3/12/2025	442.61	38,600.00	629.47	176,000.00	529.41	63,000.00	310.18
3/13/2025	443.37	38,600.00	629.47	176,000.00	529.41	63,000.00	310.18
3/14/2025	443.37	38,600.00	629.47	176,000.00	529.41	63,000.00	310.18



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